

HBITS Pricing Strategy

Briefing for IDIQ Pricing Quality Review

A transparent walkthrough of the context, narrative, formulas, data provenance, and known limitations behind Best Pegasus's Hourly-Based IT Services bid pricing - structured so a State-level IDIQ pricing strategist can independently quality-test every assumption.

NYS OGS Group 73012 - Award 23158 / Solicitation 23311

Bid opening 7/1/2026 - 5-year term + 2-year option

Persona: Federal/State Government Pricing & Capture - Confidential, for internal review

1 - Executive Summary

New York State OGS procures Hourly-Based IT Services (HBITS) through a centralized, non-negotiated, fixed-bill-rate contract. Bidders submit Not-To-Exceed (NTE) hourly bill rates for 31 job titles x 4 skill levels x 3 regions; those rates are firm for the life of each placement.

Best Pegasus pricing is modeled in two versions:

- Version 1 (Baseline) - from an internal cost/CPI estimation; lands in the expensive third of the field.
- Version 1.1 (Rank Positioning) - the current formula; reverse-engineers the competitor field and prices each role to a target rank of #19 of 33 bidders (mid-field).

FOR THE REVIEWER

This briefing exists to be challenged. Section 11 lists the assumptions and design choices that most warrant scrutiny - starting with whether a flat mid-field rank target is compatible with the MSP's 50% price filter.

2 - Market at a Glance (2023-2025)

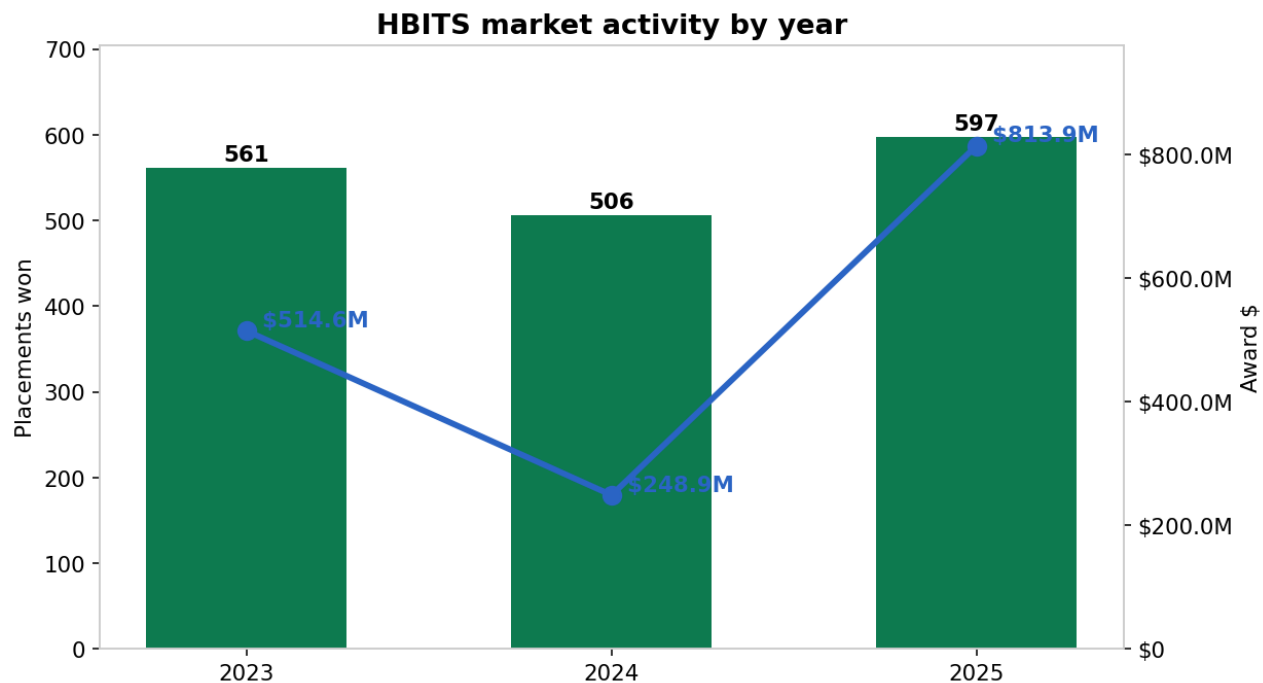
Before the pricing method, the size and shape of the prize. Figures below are placements won ('closures') and current contract amounts from the NYS OGS HBITS award records.

Metric	Value
Placements won (3 yrs)	1,664
Total awarded (3 yrs)	\$1.58B
Active competing vendors	31
Average contract value	\$948K
Market leader	Knowledge Builders (KBI) - 317 placements / \$160.5M
Top buyer (agency)	Office of Information Technology Services - 435 placements

THE OPPORTUNITY

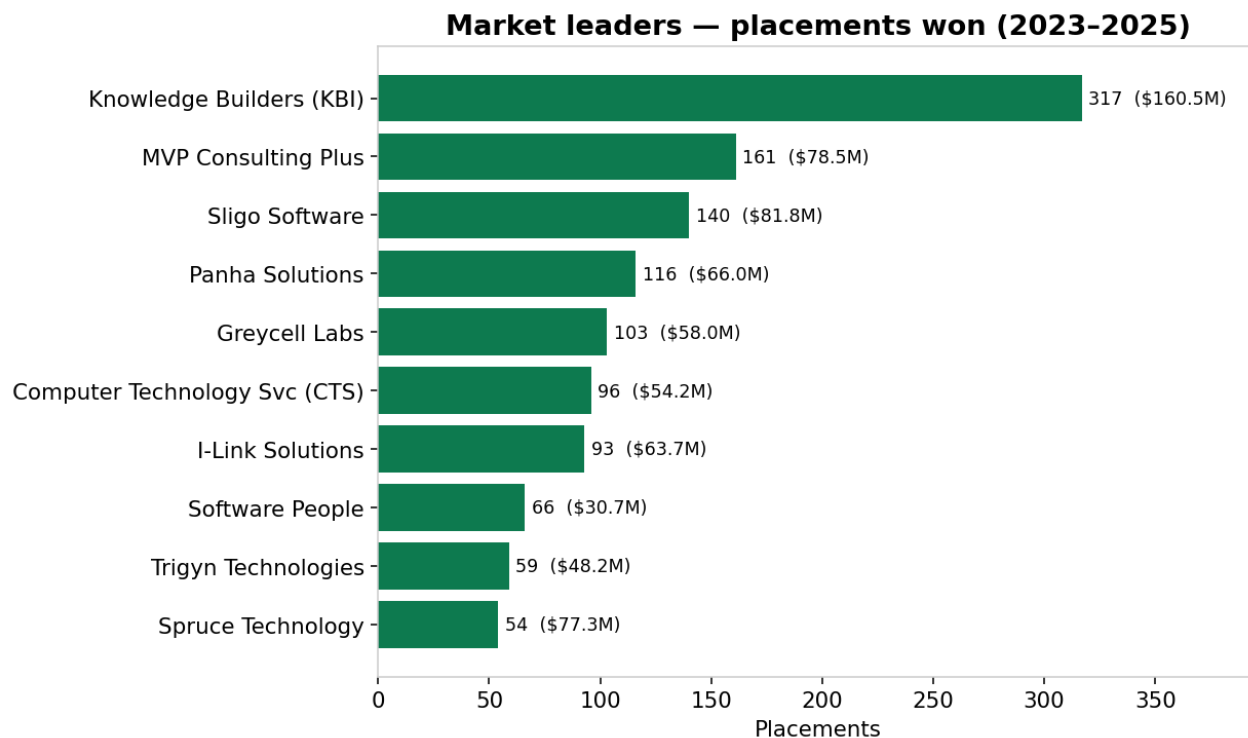
The HBITS market is \$1.58B over three years and growing (\$514.6M in 2023 to \$813.9M in 2025). It is concentrated - the top 7 vendors hold ~62% of placements - so winning means displacing incumbents on price and filter-positioning.

Market activity by year



Award dollars are rising and average contract value jumped to \$1.4M in 2025 - bigger, higher-value engagements.

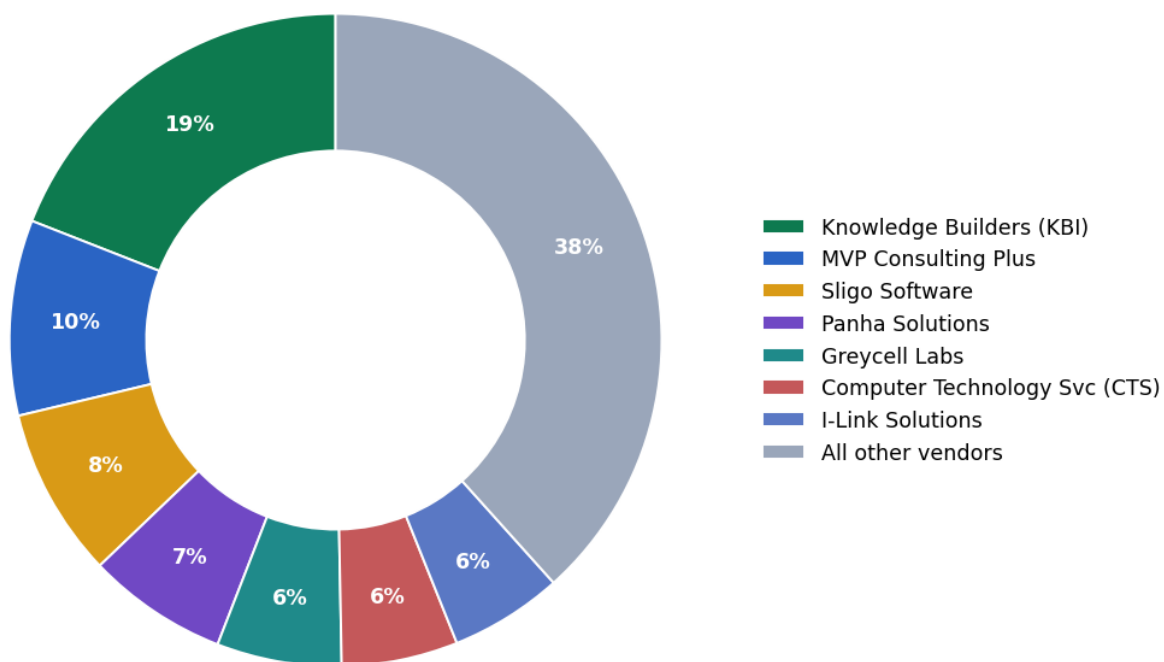
Market leaders - placements won



Knowledge Builders (KBI) dominates with 317 placements (~19% share). The top 10 capture the large majority of all work.

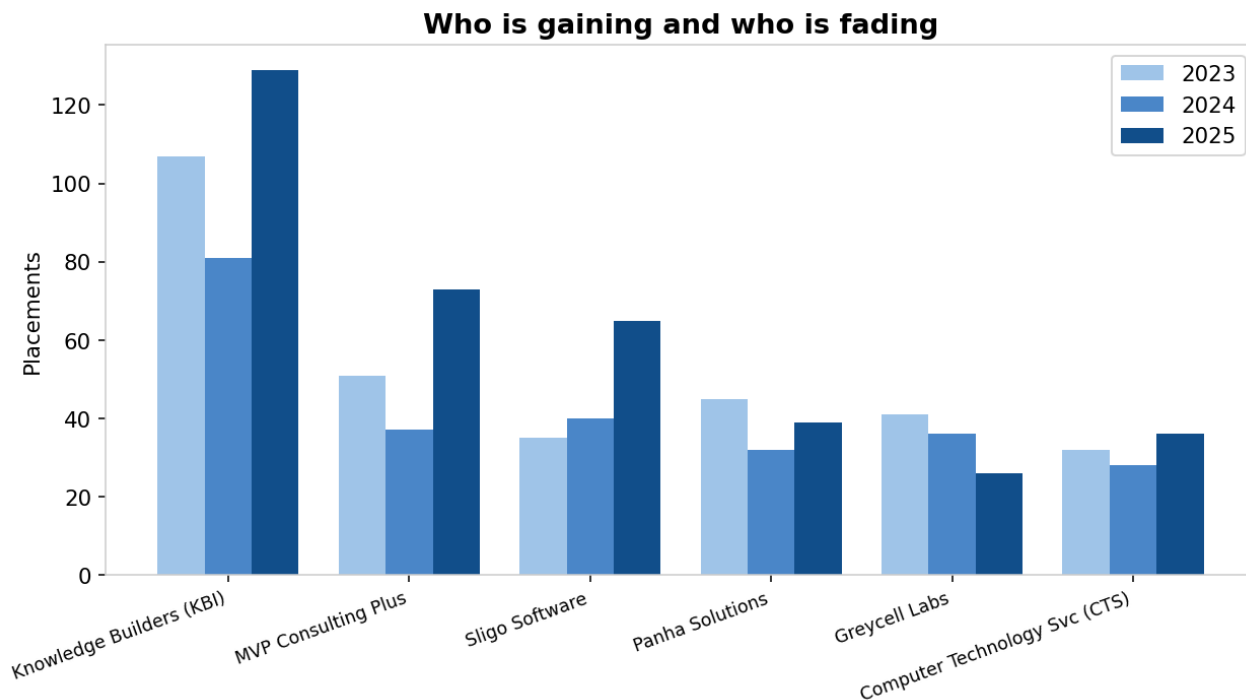
Market share

Market share — placements



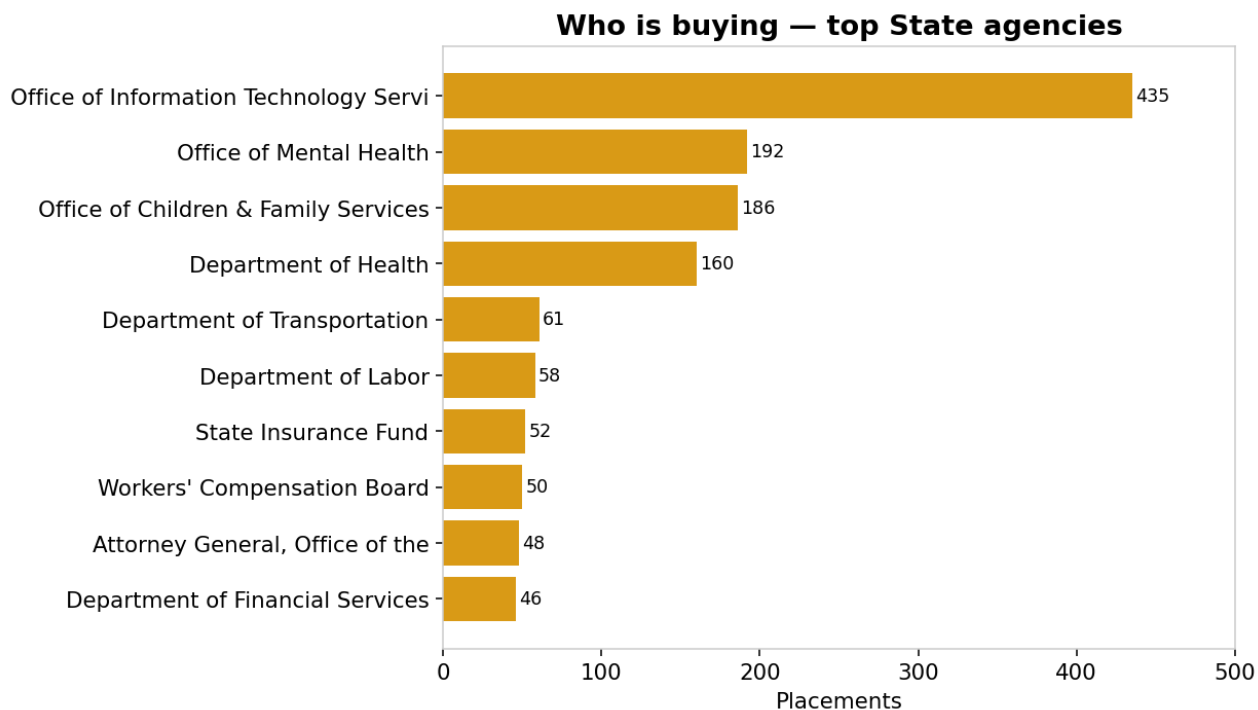
Just 7 vendors hold ~62% of placements - a concentrated field to break into.

Who is gaining and who is fading



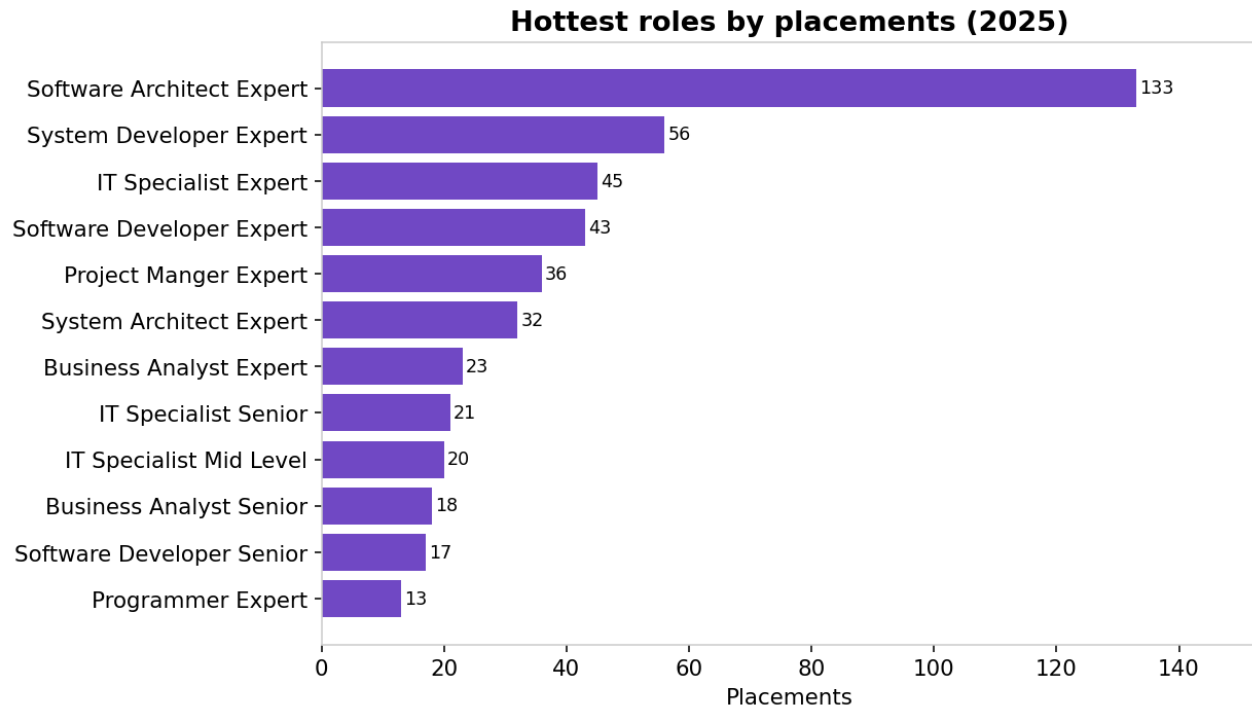
The leader is accelerating while some incumbents slide - which opens share for a sharp new bidder.

Who is buying



Office of Information Technology Services is by far the biggest buyer (435 placements). A few agencies drive most demand - target capture there.

Hottest roles



Demand clusters in Expert and Senior roles (Software Architect, Systems/Software Developer, IT Specialist) - where the volume and margin are.

3 - Procurement Context

The vehicle

HBITS (Group 73012, Award 23158, refreshed under Solicitation 23311) serves state agencies, local governments, school districts, public authorities and eligible non-profits. Term: five years + two-year option; bid opening 7/1/2026. Prior-award task orders continue on their own terms, so transition rates are decisive.

Three regions

Region	Coverage	Character
Region 1	All NY counties outside R2/R3 (Albany hub)	Statewide baseline; most placements
Region 2	Dutchess, Orange, Putnam (Mid-Hudson)	Mid-market labor rates
Region 3	NYC metro (Nassau, Suffolk, Westchester, the 5 boroughs, Rockland)	Highest labor cost

The MSP price filter - the critical mechanic

Before any technical evaluation, a Managed Service Provider applies a price filter to candidate submissions:

- 10-40 candidates: only the lowest 50% of bill rates are forwarded (plus any within 1% of the cutoff).
- 6-10 candidates: only the 5 lowest bill rates are forwarded.
- 5 or fewer: filter bypassed - all candidates forwarded.

WHY THIS MATTERS

For high-volume roles the pool exceeds 10, so only the lowest half survive. A rate at rank #19 of 33 sits in the upper half and would be filtered out before technical review. See Section 11, item A.

4 - The Strategic Story

HBITS is engineered to be price-driven and transparent, creating a tension every bidder must resolve:

- Bid too high (large markup): protect margin per placement, but get filtered out of high-volume task orders.
- Bid too low (small markup): pass the filter and win volume, but compress margin and starve overhead.

Second-order effect on talent: because the bill rate is fixed, a low-markup vendor can pay the consultant a higher wage for the same bill rate than a high-markup competitor - recruiting better people and earning higher agency satisfaction. e.g. at a Business Analyst Junior bill of \$40.33, an 11% markup pays ~\$36.33 vs a 47% markup paying ~\$27.43.

5 - Core Pricing Formula

Every bill rate is the consultant wage grossed up by the vendor markup:

$$R_bill = R_wage \times (1 + M / 100) \quad // \quad HBR_NTE = HWR \times (1 + markup)$$

Markup M must cover payroll taxes, insurance, overhead & G&A, the OGS administrative fee, and net profit.

Annual CPI escalation (Section 6.5)

$$Price \text{ Adjustment } (\%) = (CPI_t - CPI_{t-12}) / CPI_{t-12} \times 100$$

Escalation is NOT automatic - the contractor must file with BLS index sheets in a 90-day window before each anniversary, or forfeit that year's adjustment.

Anchor	Index basis	Multiplier
2025 -> 2021 (de-escalation)	270.970 / 321.943	0.8417 (-15.83%)
2025 -> 2026 (bid year)	Apr2026 333.020 / Apr2025 320.795	1.0381 (+3.81%)
2026 -> 2029 (CBO/Fed)	2.4% / 2.3% / 2.3%	1.0716 (+7.16%)

6 - Version 1: Baseline Formula

Version 1 uses Best Pegasus's internally estimated Bid Year 2026 bill rates (the 'NYS OGS IT Vendor Rate Estimation'), built bottom-up from labor benchmarks and the CPI multipliers, presented as Region 1 averages.

- Covers 30 of 31 titles - the source document omits Business Analyst.
- Region 1 values applied across all three regions.
- Competitive position: expensive third (e.g. Programmer / R1 / Senior ranks #26 of 33).

LIMITATION

A purely cost-up baseline ignores where competitors actually sit, so it tends to price above the filter cutoff for commodity roles. This motivated Version 1.1.

7 - Version 1.1: Rank Positioning Formula (current)

A market-relative rule. For each Title x Region x Skill it inspects the live competitor field and places Best Pegasus at a chosen target rank (default #19 of 33 - 18 competitors below, 14 above).

Sort competitors ascending: $c(1) \leq c(2) \leq \dots \leq c(32)$

Choose B^* such that $c(18) < B^* < c(19) \Rightarrow$ rank 19 (18 below, 14 above)

$B^* = \text{midpoint}(c(18), c(19))$ at whole cents, nudged for exactly 18 below and no tie.

- Computed independently per region (regional competitor sets differ).
- 356 / 372 roles hit exactly #19. 16 / 372 land at #18 because the 18th and 19th cheapest competitors are tied (an exact #19 is impossible) - the nearest, more-competitive rank is used.
- Covers all 31 titles, including Business Analyst.
- Target rank is a single tunable parameter - the Bid Builder re-ranks live (e.g. #10, #15).

STRENGTH

Self-calibrating to the actual field, region-specific, fully transparent, and reproducible from public award-notice data.

8 - Data Foundation & Provenance

- Source: public OGS award-notice pricing schedules (Attachment 1) per awarded contractor under Award 23158.
- Coverage: 32 competitor rate cards, each parsed to exactly 372 rows (31 titles x 4 skills x 3 regions).
- Currency rule: only each vendor's latest effective date is kept - their current contracted NTE rate.
- Best Pegasus is added as a 33rd bidder per combo under the selected formula version.

Metric	Value
Competitors	32
Bidders per role (incl. us)	33
Role combinations	372
Competitor markups observed	11% - 110%
Roles at exactly #19 (v1.1)	356
Roles at nearest rank / ties	16

PROVENANCE CAVEAT

Many incumbents' latest effective date is pre-2025 and un-escalated, so the low end of the field reflects stale rates. Ranking a 2026 rate against a 2019 rate is not strictly like-for-like - Section 11, item B.

9 - Margin & Cost-Build Decomposition

$\text{Net profit} = (\text{R_bill} - \text{R_wage}) - \text{R_wage} \times (\text{payroll} + \text{insurance} + \text{overhead}) - \text{R_bill} \times \text{OGSfee}$

$\text{Net margin\%} = \text{Net profit} / \text{R_bill} \times 100$

Defaults: payroll taxes 13.5%, insurance 3.5%, overhead+G&A 10.5% (of wage); OGS fee 0.75% (of bill); markup sets the wage.

Markup	Implied wage (of bill)	Net margin (approx)
30%	~77%	~1-2%
40%	~71%	~8%
45%	~69%	~11%

KEY PROPERTY

Because cost loadings are a % of wage, net margin is driven almost entirely by the markup, not the role. Rank-#19 bill rates require ~40-45% markup to clear a healthy (~10%) margin - which lowers the wage we can offer (recruiting risk) and, for high-volume roles, pushes us toward the filter cutoff.

10 - Competitive Landscape

Archetype	Markup	Examples	Play
High-volume / low-margin	11-33%	CTS (11%), GCOM (30%), Broad Crossing (33%)	Win volume; scale-dependent
Mid-market	38-52%	Mindlance (38%), Sligo (47%), Experis (50%)	Balanced
Aggregator / niche-high	65-110%	Spruce (65%), CMA/OST (80%), KBI (110%)	Margin on scarce, filter-bypassing roles

Doctrine: tier the markup - low (15-25%) for commodity, high-supply roles to pass the 50% filter; higher (35-45%) for scarce roles (Cloud Engineer, Architects, Security Manager) whose pools fall below 5 and bypass the filter.

11 - Quality-Test Checklist (what to scrutinize)

- [CRITICAL] A. Does rank #19 survive the MSP 50% filter? In a 33-bidder high-volume pool only the lowest ~16-17 are forwarded - #19 is in the upper half and would be filtered out. Should the target be ≤ 16 for commodity roles?
- [CRITICAL] B. Are competitor benchmarks current? Many incumbent rates are pre-2025 / un-escalated. Should we escalate competitor rates to 2026-equivalents (CPI) before ranking?
- [MATERIAL] C. Flat rank vs tiered strategy. A single #19 target ignores role scarcity. Should the target vary by title?
- [MATERIAL] D. Margin vs recruiting. ~1-2% margin at 30% markup; ~10% needs ~45%, which lowers payable wage. Validate the trade-off.
- [MATERIAL] E. Wage & cost-build assumptions. Replace the assumed 30% markup / illustrative loadings with audited rates.
- [CHECK] F. 10-year profitability decay - CPI escalation trails IT wage inflation; model margin erosion over 5+2 years.
- [CHECK] G. Tie-affected roles - 16 of 372 land at #18; confirm acceptable.
- [CHECK] H. Data completeness - are all 32 cards the full awarded pool?
- [CHECK] I. Region modeling - confirm regional competitor sets are genuinely distinct.
- [CHECK] J. Escalation compliance - workflow to file the CPI adjustment within the window each anniversary.

12 - Risks, Assumptions & Limitations

- Assumption: competitors re-bid at/near current Award 23158 rates under 23311 (their 2026 bids are unknown).
- Assumption: the MSP filter mechanics carry forward unchanged.
- Limitation: displayed Best Pegasus wage and margin are illustrative pending audited cost data.
- Limitation: Version 1 omits Business Analyst (source-document gap).
- Limitation: ranking treats each vendor's latest effective rate as current regardless of its year.

13 - Glossary

NTE - Not-To-Exceed bill rate. HWR - Hourly Wage Rate (consultant; contractual minimum). HBR - Hourly Bill Rate (billed to State). MSP - Managed Service Provider (runs the price filter). CPI-U - Consumer Price Index, All Urban Consumers (CUUR0000SA0). IDIQ - Indefinite-Delivery/Indefinite-Quantity.